

A F R E E C A S E S T U D Y F R O M

How I Turned My Basement Into a \$1,500/Month Asset

A first-time investor's guide to house hacking your way
into real estate — with a little down and a lot of determination

Caitlyn Verdugo | Coliving Cait



The Starting Point

I bought my home in the Atlanta metro for \$300,000 with a conventional loan at 5% down — that's a \$15,000 down payment. Upstairs: 2 bedrooms, 1 bathroom — that's where I live. Downstairs: a walkout basement with a large, finished open area, a closet, a full bathroom, and an interior stairwell connecting the two levels.

It wasn't an investment property on paper. It was my home. But I saw potential in that basement.

\$300K

Purchase Price

\$15K

Down Payment (5%)

\$2,000

Monthly Mortgage

THE BASEMENT BEFORE



The open living area



Another angle



Closet area → future kitchenette



Bathroom before reno

The \$12,000 Conversion

We knocked out the closet and built a kitchenette in its place (tie-ing into the bathroom plumbing behind the wall). Renovated the bathroom — new tile, new vanity, refinished the tub, fresh paint. Added an exterior door, built small steps and a patio for the private entrance. Furnished the whole space. Later converted the interior stairwell into a pantry (check my TikTok for that!). In total, it cost about \$12,000. Did much of the work myself, with my dad's help (and his funny jokes to keep our spirits up!).

New plumbing	\$2,500
Kitchen — cabinets, counter, appliances, sink	\$2,500
Flooring (engineered wood flooring that I got on discount!)	\$1,000
Bathroom tile & light fixtures	\$500
Exterior door	\$1,000
Exterior stairs & patio	\$1,500
Furnishing — full unit	\$2,000
Miscellaneous	\$1,000

Total out of pocket to get started:

\$27,000

THE WORK IN PROGRESS



Future Kitchenette!



Dad framing the doorway



Cutting the countertop



Installing the exterior door

"But I Can't Because..."

"I'm not handy."

Neither was I. But that's why YouTube exists, and Ryobi tools are very accessible. The HandyWomen Facebook group (almost a million members) is GOLDEN — no stupid questions, just helpful women who've been there.

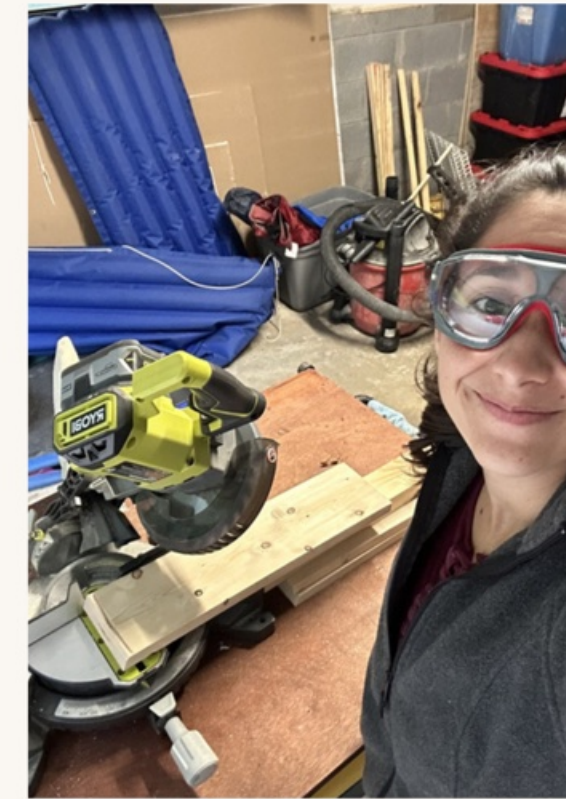
"I don't have the extra money."

Neither did I. I used an old 8% credit card from my local credit union. Not ideal — but it was available, and I paid it off within 12 months from the rental income.

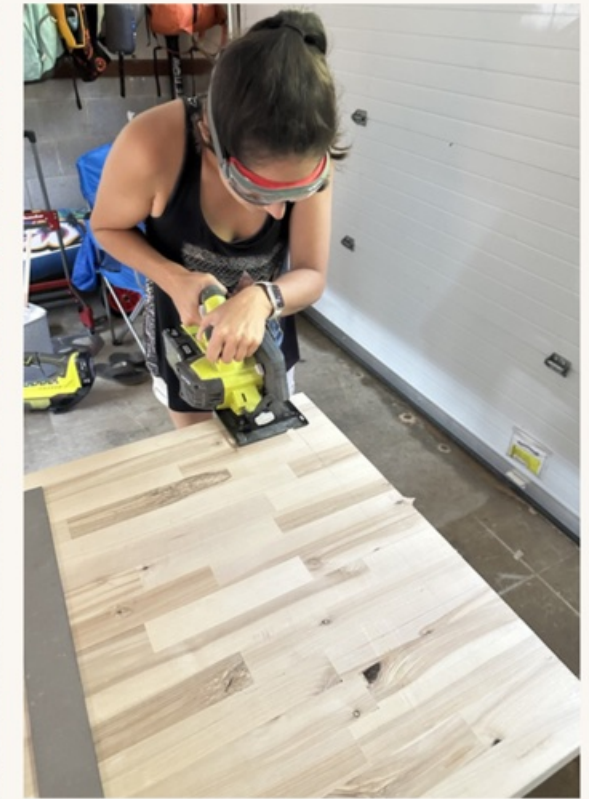
"I don't have the time."

Neither did I. But I had after-work hours and weekends. And determination. And grit. You have to have a figure-it-out mindset to play in this game.

*"You don't need to be handy, wealthy, or free.
You need to be determined and use what resources you DO have to
the best of your ability."*



Me + Ryobi miter saw



Cutting the counter



Using the paint sprayer



Paint prepping after work

The Finished Product

This is what \$12,000 and a lot of nights and weekends looks like.



Living & sleeping area



Kitchenette — was a closet



Private entrance & patio



COLIVING CAIT

Renovated bathroom



Dining area & kitchen



Kitchen to living flow

colivingcait.com

The Rental Model

Once the unit was ready, I listed it on Airbnb with a 30-day minimum stay. I specifically chose tenants looking to stay 3+ months — traveling professionals, people in transition, folks who needed a furnished, flexible living situation.

Whenever someone tells me they're moving out, I relist across Airbnb, Facebook Marketplace, Furnished Finder, and VRBO. Multi-platform approach = never had trouble filling the unit.



House Rules

- Single occupancy only
- No animals, no smoking
- Occasional guests are fine
- Must work full time somewhere (or be in school)

Mrs. Murphy Exemption to FHA Requirements for choosing renters: Because you live in the property, you have more discretion over who you rent to when it comes to choosing based on gender, age, etc. Google it 😊



The Numbers

BEFORE THE HOUSE HACK

\$2,000/mo

Monthly mortgage payment

+ \$500/mo

Utilities

Effective housing cost:

\$2,500/month

AFTER THE HOUSE HACK

\$2,000/mo

Mortgage payment

– \$1,500/mo

Rental income

Effective housing cost:

~\$1,000/month

That's a **\$1,500/month savings** or **\$18,000 per year** back in my pocket PLUS the **tax benefits** of a portion of my home being a rental! SCORE!

This isn't a rental property I needed 20–25% down for. This is my home, purchased with owner-occupant financing at 5% down. Building equity, living for a fraction of what I used to pay, benefiting from debt paydown, appreciation AND bonus tax benefits.

What Comes Next

My house hack was the first domino *for me*. It showed me I could use real estate to radically reduce my cost of living while building equity — and it opened my eyes to an even bigger model.

I discovered **coliving**: renting individual rooms in a furnished house to working adults. Same principle as my house hack — maximize income from a single property — but scaled. Today I operate 50+ coliving rooms across multiple properties in the Atlanta metro.

But here's the thing: **I didn't start with 50 rooms.** I started with **one basement. One credit card. One weekend at a time.**

Many of the smartest investors use the best leverage available to get started — **owner-occupant financing**. If you're sitting in a house with a basement, a garage apartment, or even a spare bedroom — you might be closer to your first deal than you think.

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